

Table 1: Key Financial Ratios Used in Analysis (from data/XPP/XPP_agent_ratios.md)

Category	Ratio	Value	Threshold (Pass/Monitor/Fail)	Outcome
Valuation Ratios	P/E Ratio	N/A	<10.0 / 10.0-15.0 / >15.0	N/A
	EV/EBITDA	67.6x	<5.0 / 5.0-7.5 / >7.5	FAIL
	EV/EBIT	67.6x	<7.0 / 7.0-10.0 / >10.0	FAIL
	EV/Revenue	0.8x	>1.0 / 2.0-1.0 / <2.0	FAIL
	Price to FCF	3.7x	>15.0 / 30.0-15.0 / <30.0	FAIL
	FCF Yield	26.9%	>10.0 / 6.0-10.0 / <6.0	PASS
Profitability	Gross Margin	39.2%	>40.0 / 30.0-40.0 / <30.0	MONITOR
	Operating Margin	1.5%	>15.0 / 5.0-15.0 / <5.0	FAIL
	Net Margin	-3.9%	>5.0 / 0.0-5.0 / <0.0	FAIL
	ROE	-13.2%	>10.0 / 0.0-10.0 / <0.0	FAIL
	ROCE	1.9%	>15.0 / 8.0-15.0 / <8.0	FAIL
Liquidity	Current Ratio	1.6	>1.5 / 1.0-1.5 / <1.0	PASS
	Quick Ratio	0.9	>1.0 / 0.5-1.0 / <0.5	MONITOR
Leverage	Debt-to-Equity	1.1	<0.5 / 0.5-1.0 / >1.0	FAIL
	Interest Coverage	0.2x	>4.0 / 2.0-4.0 / <2.0	FAIL
	Net Debt/EBITDA	24.5	<2.5 / 2.5-3.5 / >3.5	FAIL
Efficiency	Inventory Turnover	4.2x	>4.0 / 2.0-4.0 / <2.0	PASS
	Days Sales Outstanding	22 days	<60.0 / 60.0-90.0 / >90.0	PASS
Earnings Quality	Accruals Ratio	-31.2%	<10.0 / 10.0-20.0 / >20.0	PASS
	EBITDA to FCF Conversion	1158.3	>70.0 / 40.0-70.0 / <40.0	PASS
	Adjusted vs Statutory Gap	0.0	<10.0 / 10.0-20.0 / >20.0	PASS
Asset Quality	Goodwill/Assets	17.6%	<30.0 / 30.0-50.0 / >50.0	PASS
	Capex/Depreciation	0.0	0.8-1.2 / <0.8 or >1.2 / >1.5	MONITOR
	Tangible Book Value	£72.7m	>50.0 / 0.0-50.0 / <0.0	PASS

Category	Ratio	Value	Threshold (Pass/Monitor/Fail)	Outcome
Cash Flow	Cash Conversion	5.8	>1.0 / 0.8-1.0 / <0.8	PASS
	Free Cash Flow	£35.3m	>0.0 / 5.0-0.0 / <5.0	PASS

Table 2: Key Financial Statement Data Used in Analysis (from data/XPP folder)

Metric	30 June 2025 (H1 2025)	30 June 2024 (H1 2024)	Source File
Income Statement			data/XPP/XPP_income_statement.md
Revenue	£110.9m	£127.1m	Income Statement
Gross Profit	£45.9m	£51.6m	Income Statement
Operating Profit (Adjusted)	£4.8m	£13.5m	Income Statement
Net (Loss)/Profit	(£1.8m)	£2.2m	Income Statement
Basic EPS (pence)	(7.6) pence	8.9 pence	Income Statement
Cash Flow Statement			data/XPP/XPP_cashflow_statement.md
Operating Cash Flow	£13.9m	£34.9m	Cash Flow Statement
Free Cash Flow	£2.2m	£11.8m	Cash Flow Statement
Net Debt	£57.9m (calculated)	£93.5m (Dec 2024)	Cash Flow Statement
Cash and Cash Equivalents	£17.6m	£13.0m	Cash Flow Statement
Balance Sheet			data/XPP/XPP_balancesheet_statement.md
Total Assets	£406.9m	£416.2m	Balance Sheet
Total Liabilities	£227.7m	£270.3m	Balance Sheet
Net Assets (Equity)	£179.2m	£145.9m	Balance Sheet
Inventories	£59.5m	£71.1m	Balance Sheet
Trade Receivables	£32.7m	£30.2m	Balance Sheet

Metric	30 June 2025 (H1 2025)	30 June 2024 (H1 2024)	Source File
Borrowings (Total)	£76.8m	£108.9m	Balance Sheet
Goodwill	£71.9m	£73.2m	Balance Sheet

Analysis Summary

Valuation Ratios: XP Power's valuation multiples such as EV/EBITDA (67.6x) and EV/EBIT (67.6x) are significantly above typical pass thresholds, indicating the stock is currently trading at a very high valuation relative to earnings. The Price to Free Cash Flow ratio is also low (3.7x), which is a fail, but the Free Cash Flow Yield is strong at 26.9%, a pass. This suggests the market may be undervaluing the company's cash generation relative to its earnings multiples, possibly due to earnings weakness or other risks.

Profitability: The company shows weak profitability metrics. Gross margin at 39.2% is just below the pass threshold, flagged as monitor. Operating margin is very low at 1.5%, and net margin is negative at -3.9%, both failing thresholds. Return on equity and capital employed are negative or very low, indicating poor returns on invested capital and shareholder equity. This suggests operational challenges or margin pressure.

Liquidity: The current ratio of 1.6 is a pass, indicating adequate short-term liquidity. The quick ratio at 0.9 is slightly below the pass threshold but still in monitor range, showing some reliance on inventory for liquidity.

Leverage: Debt-to-equity at 1.1 is above the pass threshold, flagged as fail, indicating relatively high leverage. Interest coverage is very low at 0.2x, a fail, showing the company struggles to cover interest expenses from operating earnings. Net Debt/EBITDA is extremely high at 24.5x, also a fail, indicating significant leverage risk.

Efficiency: Inventory turnover at 4.2x and days sales outstanding at 22 days are both strong, passing thresholds, indicating efficient working capital management.

Earnings Quality: Accruals ratio is negative at -31.2%, a pass, suggesting conservative earnings recognition. EBITDA to FCF conversion is very high at 1158.3%, a pass, indicating strong cash conversion from earnings. Adjusted vs statutory gap is zero, a pass, showing no significant adjustments.

Asset Quality: Goodwill to assets ratio is moderate at 17.6%, a pass, indicating no excessive goodwill risk. Capex to depreciation is zero, flagged as monitor, which may indicate underinvestment or timing differences. Tangible book value is strong at £72.7m.

Cash Flow: Cash conversion ratio is very strong at 5.8, a pass, indicating excellent conversion of earnings to cash. Free cash flow of £35.3m is positive and a pass.

Conclusion

XP Power currently exhibits a mixed financial profile. The company is generating strong cash flow and managing working capital efficiently, which is a positive sign of operational cash health. However, profitability metrics are weak with negative net margins and poor returns on equity and capital employed,

indicating operational challenges or margin pressure. The company is highly leveraged with poor interest coverage, which raises financial risk concerns.

Valuation multiples are very high relative to earnings, suggesting the market may be pricing in expectations of future improvement or other strategic value. The strong free cash flow yield and cash conversion ratios support the view that the company has underlying cash generation strength despite earnings weakness.

Overall, XP Power appears to be undervalued on a free cash flow basis but overvalued on earnings multiples, reflecting a company in transition with financial risks from leverage and profitability. Investors should monitor operational improvements and leverage reduction closely. The company's recent equity raise and debt reduction are positive steps toward financial resilience.

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